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**UNITED STATES BANKRUPTCY COURT**
**SOUTHERN DISTRICT OF WEST VIRGINIA**

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| In re:<br>BLACKJEWEL, L.L.C., *et al.*,<br>Debtors.[1] | Case No. 19-30289<br>*Joint Administration*<br>Chapter 11<br>Judge Frank W. Volk |

## MOTION OF THE OFFICIAL COMMITTEE OF UNSECURED CREDITORS TO CONVERT CHAPTER 11 CASES TO CHAPTER 7

The Official Committee of Unsecured Creditors of Debtors Blackjewel, L.L.C., *et al.* (the "Committee"), by and through its undersigned counsel, and pursuant to Section 1112(b) of title 11, United States Code, 11 U.S.C. §§ 101 *et seq.* (as amended, "Bankruptcy Code"), hereby moves this Court to convert the above-captioned cases (the "Chapter 11 Cases") to cases under chapter 7 of the Bankruptcy Code. In support of the Motion, the Committee respectfully states as follows:

## PRELIMINARY STATEMENT

The Committee recognizes the challenges that plagued these Chapter 11 Cases since their inception. Unfortunately, the past nine (9) months have made abundantly clear that conversion to cases under chapter 7 of the Bankruptcy Code is the only reasonable path forward. This reality presents the following questions: can the Debtors propose a confirmable plan of liquidation that satisfies Section 1129 of the Bankruptcy Code? Or should this Court convert theses Chapter 11

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[1] The debtors in the above-captioned chapter 11 cases (the "Chapter 11 Cases") and the last four digits of each debtor's taxpayer identification number are as follows: Blackjewel, L.L.C. (0823); Blackjewel Holdings L.L.C. (4745); Revelation Energy Holdings, LLC (8795); Revelation Management Corporation (8908); Revelation Energy, LLC (4605); Dominion Coal Corporation (2957); Harold Keene Coal Co. LLC (6749); Vansant Coal Corporation (2785); Lone Mountain Processing, LLC (0457); Powell Mountain Energy, LLC (1024); and Cumberland River Coal LLC (2213) (collectively, the "Debtors"). The headquarters for each of the Debtors is located at 1051 Main Street, Milton, West Virginia 25541-1215.

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cases to cases under chapter 7 of the Bankruptcy Code and vest a chapter 7 trustee with powers and authorities to administer the Debtors' remaining assets and see these cases through to their conclusion? Because the continuously-increasing pool of administrative claims will not only consume all remaining liquidity of the Debtors' estates in the coming months, but will also preclude the Debtors from confirming a chapter 11 plan, the Committee believes that conversion of these Chapter 11 Cases to cases under chapter 7 is in the best interest of all creditors and parties in interest.

## JURISDICTION AND VENUE

1. This Court has jurisdiction over this Motion pursuant to 28 U.S.C. §§ 157 and 1334. This matter is a core proceeding within the meaning of 28 U.S.C. § 157(b)(2).

2. Venue is proper in this District pursuant to 28 U.S.C. §§ 1408 and 1409.

3. The statutory bases for the relief requested herein is section 1112(b) of the Bankruptcy Code.

## BACKGROUND

4. Each of the Debtors filed a voluntary petition with this Court for relief under chapter 11 of the Bankruptcy Code on either July 1, 2019 or July 24, 2019 (the "Petition Date").

5. The Chapter 11 Cases are being jointly administered pursuant to Bankruptcy Rule 1015(b), the *Order Directing Joint Administration of Related Chapter 11 Cases* [Docket No. 60] entered by the Court on July 3, 2019, and the *Order Directing Joint Administration of Additional Chapter 11 Cases* [Docket No. 437] entered by the Court on July 31, 2019.

6. On July 3, 2019, the Office of the United States Trustee for Region 4, the District of West Virginia (the "US Trustee") appointed the Committee. *See* Docket No. 52.

and authorities to administer the Debtors' remaining assets and see these cases through to their conclusion? Because the continuously-increasing pool of administrative claims will not only consume all remaining liquidity of the Debtors' estates in the coming months, but will also preclude the Debtors from confirming a chapter 11 plan, the Committee believes that conversion of these Chapter 11 Cases to cases under chapter 7 is in the best interest of all creditors and parties in interest.

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6. On July 3, 2019, the Office of the United States Trustee for Region 4, the District of West Virginia (the "US Trustee") appointed the Committee. *See* Docket No. 52.

7. The Debtors continue to operate their businesses and manage their properties as debtors in possession pursuant to sections 1107(a) and 1108 of the Bankruptcy Code. As of the date hereof, no party has requested the appointment of a trustee or an examiner in these Chapter 11 Cases.

8. The period under section 1121(b) of the Bankruptcy Code during which the Debtors have the exclusive right to file a chapter 11 plan has been extended through and including April 27, 2020. *See* Order Further Extending The Exclusive Periods During Which Only The Debtors

7. The Debtors continue to operate their businesses and manage their properties as debtors in possession pursuant to sections 1107(a) and 1108 of the Bankruptcy Code. As of the date hereof, no party has requested the appointment of a trustee or an examiner in these Chapter 11 Cases.

8. The period under section 1121(b) of the Bankruptcy Code during which the Debtors have the exclusive right to file a chapter 11 plan has been extended through and including April 27, 2020. *See Order Further Extending The Exclusive Periods During Which Only The Debtors May File A Chapter 11 Plan And Solicit Acceptances Thereof* at Docket No. 1766.[2]

## CURRENT STATUS

9. As the Court is aware, the Debtors have, among other things: (i) sold substantially all of their assets, having (a) conducted an auction for the sale of substantially all of the Debtors' assets; (b) closed ten separate sales resulting from the auction; and (c) closed two additional private sales of the Debtors' assets, including the sale of all of the Debtors' Wyoming assets; (ii) settled a prepetition employee wage dispute with the United States Department of Labor ("DOL"); and (iii) in connection with the sale of the western assets, compromised claims and disputes with (a) Riverstone Credit Partners – Direct, L.P., a prepetition and post-petition debtor-in-possession lender; (b) Blackjewel Marketing & Sales, an affiliated non-debtor; and (c) Highbridge Capital management, LLC and Whitebox Advisors, LLC, the Debtors' junior debtor-in-possession lenders. *See Debtors' Third Motion For Entry Of An Order Extending The Exclusive Periods During Which Only The Debtors May File A Chapter 11 Plan And Solicit Acceptances Thereof* at Docket. No. 1936, ¶ 2.

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[2] On April 24, 2020, the Debtors filed the *Debtors' Third Motion for Entry of an Order Extending the Exclusive Periods During Which Only the Debtors May File a Chapter 11 Plan and Solicit Acceptances Thereof* (Docket No. 1936) seeking to extending the period during which the Debtors have the exclusive right to file a chapter 11 plan through and including July 27, 2020.

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9. As the Court is aware, the Debtors have, among other things: (i) sold substantially all of their assets, having (a) conducted an auction for the sale of substantially all of the Debtors' assets; (b) closed ten separate sales resulting from the auction; and (c) closed two additional private sales of the Debtors' assets, including the sale of all of the Debtors' Wyoming assets; (ii) settled a prepetition employee wage dispute with the United States Department of Labor ("DOL"); and (iii) in connection with the sale of the western assets, compromised claims and disputes with (a) Riverstone Credit Partners – Direct, L.P., a prepetition and post-petition debtor-in-possession lender; (b) Blackjewel Marketing & Sales, an affiliated non-debtor; and (c) Highbridge Capital management, LLC and Whitebox Advisors, LLC, the Debtors' junior debtor-in-possession lenders. *See* Debtors' Third Motion For Entry Of An Order Extending The Exclusive Periods During Which Only The Debtors May File A Chapter 11 Plan And Solicit Acceptances Thereof at Docket. No. 1936, ¶ 2.

10. Upon information and belief, the Debtors presently continue to: (i) dispose of de minimis assets by way of sales and/or abandonment in accordance with procedures previously approved by the court, (ii) resolve issues with outstanding assumption and assignment of executory contracts and unexpired leases of non-residential real properties, (iii) cooperate with sureties, regulators, and governmental agencies to finalize the assignment of various permits related to assets previously sold, (iv) work with United Health Care Services, Inc. to understand the amount and nature of the unprocessed claims accrued under the Debtors' self-insured health plan and (v) investigate claims against third parties, including the Debtors' founder, President and Chief Executive Officer, Jeff Hoops, and various persons and entities related to Mr. Hoops (the "Hoops Parties") and other various litigation targets. *See* Docket. No. 1936, ¶ 3.

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11. Moreover, the deadline to file postpetition claims (including governmental unit claims) and administrative claims incurred through and including October 14, 2019 against the Debtors has passed.

12. The Debtors are purportedly now also focused on the sale or transfer of remaining mining permits and the investigation of claims and causes of action against the Hoops Parties and certain other parties. *See* Docket No. 1936, ¶ 4.

13. The Committee asserts, however, that the Debtors' estates are presently administratively insolvent and it is highly improbable that the Debtors will have sufficient funds available to satisfy, among other provisions, Section 1129(a)(9) of the Bankruptcy Code.

14. On April 20, 2020, the Debtors filed the Monthly Operating Report for the Month of March 2020 for Blackjewel, L.L.C. [Docket No. 1920] (the "March MOR").

15. Pursuant to the March MOR, as of March 31, 2020, the Debtors only had cash available in the amount of $3,990,667.

16. The March MOR also reflects that as of March 31, 2020, the Debtors had unpaid postpetition payables in the amount of $9,932,118 and unpaid postpetition taxes in the amount of $3,268,514.[3]

17. The Committee is unaware of any remaining assets that will generate a significant additional amount of cash for the Debtors in the near future.[4]

18. On information and belief, the Committee asserts that administrative expenses of the estates far exceed the Debtors' available cash and value of remaining assets.

19. Based on the March MOR, the aggregate amount of accrued and unpaid professional fees and expenses of Debtors' professional and Committee's professionals alone exceeds $8,000,000.

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[3] The March MOR states that "Eagle Specialty Materials is assuming up to $4.31 million in accounts payable (including trade and tax), to be reconciled with Debtor."

[4] As discussed infra, the Debtors may have causes of action against Jeff Hoops and the Hoops Parties. As discussed in other proceedings before the Court, the Debtors may also have causes of action against United Bank. However, the investigation of such causes of action has just started and any recovery is speculative and a long way off in any event. The Debtors also have preference and avoidance actions. A chapter 7 trustee can file and prosecute preference and avoidance actions as well as investigate, file and prosecute causes of action against Mr. Hoops and other parties once these Chapter 11 cases are converted to chapter 7 cases.

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18. On information and belief, the Committee asserts that administrative expenses of the estates far exceed the Debtors' available cash and value of remaining assets.

19. Based on the March MOR, the aggregate amount of accrued and unpaid professional fees and expenses of Debtors' professional and Committee's professionals alone exceeds $8,000,000.

20. The March MOR also reflects that the operational costs of the Debtors for March 2020 (i.e. excluding professional fees and expenses) were $314,048. Much of the operational costs appear to be reoccurring monthly charges, so the Debtors' monthly operational costs while in chapter 11 will likely continue to be several hundred thousand dollars, which will continue to diminish the Debtors' available cash.

21. Moreover, the March MOR demonstrates that the Debtors have negative cash flow.

22. While the Committee is aware that administrative and priority claims may be reduced through the claims reconciliation process and settlements, the delta between the amount of administrative and priority claims and the amount of available cash and remaining assets is

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simply too vast to believe that, even with the Debtors' best efforts, they will have sufficient funds available to confirm a chapter 11 plan of liquidation. The Committee is concerned that continuing in chapter 11 will only increase the administrative expense burden on the already administratively insolvent estates and further distance general unsecured creditors from any likelihood of recovery.

## RELIEF REQUESTED

23. By this Motion, the Committee seeks an order converting these Chapter 11 Cases to cases under chapter 7 pursuant to section 1112(b) of the Bankruptcy Code.

## LEGAL BASIS FOR RELIEF REQUESTED

24. Section 1112(b) of the Bankruptcy Code provides in relevant part that a court ***shall*** convert a chapter 11 case, "for cause," upon the request of a party in interest. 11 U.S.C. §1112(b). The Committee is a party-in-interest in the Chapter 11 Cases. *See* 11 U.S.C. § 1109(b).

25. Section 1112(b) states in relevant part:

> (1) Except as provided in paragraph (2) and subsection (c), on request of a party in interest, and after notice and a hearing, the court ***shall*** convert a case under this chapter to a case under chapter 7 or dismiss a case under this chapter, whichever is in the best interests of creditors and the estate, for cause unless the court determines that the appointment under section 1104(a) of a trustee or an examiner is in the best interests of creditors and the estate.
>
> …
>
> (4) For purposes of this subsection, the term "cause" includes—
>
> (A) substantial or continuing loss to or diminution of the estate and absence of a reasonable likelihood of rehabilitation…

11 U.S.C. § 1112(b) (emphasis added).

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> (4) For purposes of this subsection, the term "cause" includes—

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11 U.S.C. § 1112(b)(4)(A) (emphasis added).

26. Section 1112(b)(2) provides (emphasis added):

> The court may not convert a case under this chapter to a case under chapter 7 or dismiss a case under this chapter if the court finds and specifically identifies unusual circumstances establishing that converting or dismissing the case is not in the best interests of creditors and the estate, and the debtor or any other party in interest establishes that—
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> A) there is a reasonable likelihood that a plan will be confirmed within the timeframes established in sections 1121(e) and 1129(e) of this title, or if such sections do not apply, within a reasonable period of time; and
>
> (B) the grounds for converting or dismissing the case include an act or omission of the debtor other than under paragraph (4)(A)—
>
> (i) for which there exists a reasonable justification for the act or omission; and
>
> (ii) that will be cured within a reasonable period of time fixed by the court.

27. Section 1112(b)(4) of the Bankruptcy Code sets forth a list of non-exclusive grounds that constitute "cause" for purposes of paragraph (b)(l). 11 U.S.C. § 1112(b)(4); *see also In re Emerald Grande, LLC*, No. 17-BK-21, 2018 WL 2703071, at *2 (Bankr. N.D. W.Va. June 4, 2018). Cause includes where, as presently exists in these Chapter 11 Cases, there is a continuing loss to or diminution of the estate and the absence of a reasonable likelihood of rehabilitation. 11 U.S.C. §1112(b)(4)(A).

28. The movant bears the initial burden of demonstrating that cause for conversion exists under Section 1112(b). *In re Burgess*, No. 11-1257, 2013 WL 5874616, at *1 (Bankr. N.D. W.Va. Oct. 30, 2013).

29. Accordingly, a Court must convert the case if (i) the Court determines that cause exists; (ii) the Court does not determine the appointment of a trustee or examiner is in the best interests of creditors and the estate; and (iii) the requirements of Bankruptcy Code section 1112(b)(2) have not been satisfied. *See* 7 COLLIER ON BANKRUPTCY ¶ 1112.04 (Alan N. Resnick & Henry J. Sommer eds., 16th ed); *In re Riverbend Cmty., LLC*, 2012 Bankr. LEXIS 1275, at *5 (Bankr. D. Del. Mar. 23, 2012) ("Congressional intent that 'shall' really does mean 'must' in the convert or dismiss provision is readily apparent. In 2005, Congress removed

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> A) there is a reasonable likelihood that a plan will be confirmed within the timeframes established in sections 1121(e) and 1129(e) of this title, or if such sections do not apply, within a reasonable period of time; and
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### *A. Substantial or Continuing Loss to or Diminution of the Estate and the Absence of a Reasonable Likelihood of Rehabilitation is Cause to Convert.*

#### 1. Substantial or Continuing Loss to or Diminution of the Estate

30. The Bankruptcy Code provides for conversion or dismissal of a chapter 11 case based on continuing loss to or diminution of the estate in order to prevent the debtor-in possession "from gambling on an enterprise at the creditors' expense when there is no hope of rehabilitation." *In re Lizeric Realty Corp.*, 188 B.R. 499, 503 (Bankr. S.D.N.Y. 1995); *see also In re The Reserves Resort, Spa & Country Club LLC*, Bankr. D. Del Case No. 12-13316-KG (Memorandum Opinion dated July 12, 2013).

31. To determine whether there is a substantial or continuing loss or diminution, "the court first looks at whether a debtor has negative cash flow or declining asset values; if so, the court considers whether the debtor will be able to 'stop the bleeding' and return to solid financial footing within a reasonable amount of time." *In re Burgess*, 2013 WL 5874616, at *7 (*citing* 7 COLLIER ON BANKRUPTCY ¶ 1112 .04 (Alan N. Resnick & Henry J. Sommer eds., 16th ed.)).

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### **A. Substantial or Continuing Loss to or Diminution of the Estate and the Absence of a Reasonable Likelihood of Rehabilitation is Cause to Convert.**

#### **1. Substantial or Continuing Loss to or Diminution of the Estate**

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32. The Debtors' estates are continuing to suffer diminution of value. Meanwhile, professional fees continue to accrue, as do other administrative expenses. For purposes of a liquidating chapter 11 case, in which there are no ongoing business operations, a negative cash flow exists so long as the estate continues to incur chapter 11 administrative expenses. *Loop Corp. v. U.S. Trustee*, 379 F.3d 511, 515-516 (8th Cir. 2004) ("Under the interpretation of § 1112(b)(l) consistently used in bankruptcy courts, this negative cash flow situation alone is sufficient to establish 'continuing loss to or diminution of the estate.'"). As noted by the Eighth Circuit, "any negative cash flow— including that resulting only from administrative expenses—

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33. While the Debtors have used the proceeds of the asset sales to, among other things, payoff certain of the Debtors' prepetition and post-petition lenders and satisfy certain administrative expense claims, as of March 31, 2020, the Debtors only have approximately $4 million in available cash and few remaining assets while facing administrative expense claims that far exceed the value of cash and remaining assets.

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33. While the Debtors have used the proceeds of the asset sales to, among other things, payoff certain of the Debtors' prepetition and post-petition lenders and satisfy certain administrative expense claims, as of March 31, 2020, the Debtors only have approximately $4 million in available cash and few remaining assets while facing administrative expense claims that far exceed the value of cash and remaining assets.

34. In light of the present administrative insolvency of the Debtors, few remaining significant assets and the Debtors' stated intent to continue to incur administrative claims to liquidate remaining de minimis assets and address various remaining issues in the Chapter 11 Cases, the Debtors will not "stop the bleeding" and return to solid financial footing within a reasonable amount of time.

### 2. Absence of Reasonable Likelihood of Rehabilitation

35. As for the second element of Section 1112(b)(4)(A), rehabilitation "contemplates the successful maintenance or re-establishment of the debtor's business operations." *In re Quail Farm, LLC*, 2010 WL 1849867, at *4 (quoting *Canpartners Realty Holding Co. IV, L.L.C. v. Vallambrosa Holdings, L.L.C. (In re Vallambrosa Holdings, L.L.C.)*, 419 B.R. 81, 88 (Bankr. S.D. Ga. 2009), adhered to on denial of reconsideration, 419 B.R. 92 (Bankr. S.D. Ga. 2009)).

36. Rehabilitation and reorganization are related but distinct concepts. Rehabilitation in the context of Section 1112(b)(4)(A) "contemplates the successful maintenance or re-establishment of the debtor's business operations…." *Vallambrosa Holdings*, 419 B.R. at 88 (internal quotation marks omitted);

37. [illegible] requires, at minimum, the prospect of re-establishing a business. *See In re Quail Farm*, 2010 WL 1849867 at *4; *In re Vallambrosa Holdings*, 419 B.R. at 88-9; *Loop Corp.*, 379 F.3d at 518.

38. The Debtors have no reasonable likelihood of rehabilitation. "Rehabilitation does not include liquidation. Rehabilitation means to reestablish a business." *In re 15375 Memorial Corp.*, 386 B.R. 548, 552 (Bankr. D. Del. 2008) (reversed on other grounds by *In re 15375 Memorial Corp.*, 400 B.R. 420 (D. Del. 2009)); *see also Loop Corp.*, 379 F.3d at 515 ("Courts have consistently understood 'rehabilitation' to refer to the debtor's ability to restore the viability of its business.").

39. Courts have consistently held that liquidation does not equate to the "rehabilitation" of the debtor contemplated by chapter 11. *See, e.g., In re Jeanette Corp.*, 85 B.R. 319, 343-44 (W.D. Pa. 1988) (where debtors' assets other than a cause of action were sold during chapter 11 case, proposed plan of liquidation was "not a plan for rehabilitation of the [d]ebtor"), *vacated on other grounds by Moody v. Simmons*, 858 F.2d 137 (3d Cir. 1988); *Matter of E. Paul Kovacs and Co.. Inc.*, 16 B.R. 203, 206 (Bankr. D. Ct. 1981) ("rehabilitation referred to in § 1112(b)(1) means more than liquidation under chapter 11").

40. No reorganization or rehabilitation purpose remains to be achieved in these Chapter 11 Cases because the Debtors have sold substantially all of their assets and have insufficient cash or remaining assets to confirm a plan of liquidation.

41. Accordingly, cause exists to convert these Chapter 11 cases because there is a "substantial or continuing loss to or diminution of the estate and the absence of a reasonable likelihood of rehabilitation." 11 U.S.C. § 1112(b)(4)(A).

## B. The Debtors' Administrative Insolvency is a Separate and Independent Cause to Convert

42. Because the examples of cause set forth in Section 1112(b)(4) are illustrative and not exhaustive, courts have also found that the administrative insolvency of a debtor's estate constitutes separate and independent cause to convert a chapter 11 case to a case under chapter 7. *See In re Emerald Grande*, 2018 WL 2703071, at *3 ("[A] debtor's administrative insolvency can demonstrate cause under [Section] 1112(b)(4)(A) or serve as independent cause for

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## B. *The Debtors' Administrative Insolvency is a Separate and Independent Cause to Convert*

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administrative insolvency constitutes cause to convert these cases."); *In re Bartmann*, 310 B.R. 663 (B.A.P. 10th Cir. 2004) (affirming bankruptcy court's conversion order based, in part, on administrative insolvency of the debtor); *In re Desmond*, 331 B.R. 42, 44 (Bankr. D.N.H. 2005) (same).

43. As set forth above, the Debtors have sold substantially all of their assets and have no intention of rehabilitating their operations. Given that the Debtors have only approximately $4 million in cash as of March 31, 2020 and few remaining assets, but will owe a multitude of that amount in administrative claims, the Debtors are clearly administratively insolvent.

### *C. Potential Litigation Against Debtors' Former President And Chief Executive Officer, Jeff Hoops And Others Does Not Prevent Conversion And Can Be Brought By A Chapter 7 Trustee*

44. The Debtors assert that they have devoted substantial time, among other things, "working with the [Committee] to investigate, and potentially bring causes of action against, multiple parties, including the Debtors' former President and Chief Executive Officer, Jeff Hoops, and various persons and entities related to Mr. Hoops (the "Hoops Parties")." *See* Docket No. 1936, ¶ 3. Moreover, "[t]he Debtors also filed a motion seeking an order authorizing the examination of United Bank." *See* Docket No. 1936, ¶ 5. The Debtors further assert that they "believe that these investigations may lead to causes of action valued in the tens of millions of dollars that could be available for distribution to creditors." *See* Docket No. 1936, ¶ 5. However, the investigations have just started and there is no assurance that such causes of action will be successful.

45. Given the complexity of the causes of action being investigated, the amount of time, resources and expense it will take to investigate and prosecute such causes of action and the speculative nature and risks inherent in any litigation, Debtors' intention to investigate and pursue the causes of action cannot rebut the established cause for converting the Chapter 11 Cases.

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46. Moreover, once the Chapter 11 Cases are converted to cases under chapter 7, the chapter 7 trustee can continue the investigation and pursuit of the causes of action as well as pursue preference and avoidance actions.

### *D. Conversion Best Serves the Interests of All Creditors*

47. Once cause is established, the Court must determine whether conversion or dismissal is in the best interests of creditors. *In re Superior Siding & Window, Inc.*, 14 F.3d 240, 242 (4th Cir. 1994). In evaluating whether conversion or dismissal is in the best interests of creditors, the Bankruptcy Court must consider the interests of *all* creditors. *In re Superior Siding*, 14 F.3d at 243.

48. Courts have found conversion best served the interests of all creditors when conversion was expected to reduce administrative expenses and the chapter 7 trustee would be in a better position to exercise independent judgment concerning the debtor's claims. *In re Nelco Ltd.*, 210 B.R. 707, 709-10 (Bankr. E.D. Va. 1997). Courts have also converted cases when maintaining the case in chapter 11 would only result in further diminution of the estate. *In re Bartmann*, 310 B.R. at 663 (B.A.P. 10th Cir. 2004).

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49. A debtor may not enjoy the protection of chapter 11 indefinitely. "[I]t is not the purpose of Chapter 11 to allow a debtor a permanent cloak of protection while the estate's assets are diminished by the costs of administration." *In re Galvin*, 49 B.R. 665, 669 (Bankr. D.N.D. 1985). "The function of Chapter 11 is rehabilitation—not disintegration." *Id.*

50. Continuing these cases in chapter 11 will only increase the administrative expense burden on the already administratively insolvent estates.

ours p.12 (red) over filed p.14 (blue)

49. A debtor may not enjoy the protection of chapter 11 indefinitely. "[I]t is not the purpose of Chapter 11 to allow a debtor a permanent cloak of protection while the estate's assets continue to diminish and the operational coherence unravels." *In re Galvin*, 49 B.R. 665, 669 (Bankr. D.N.D. 1985). "The function of Chapter 11 is rehabilitation—not disintegration." Id.

50. Continuing these cases in chapter 11 will only increase the administrative expense burden on the already administratively insolvent estates.

51. Courts consider the preferences expressed by the creditors themselves in determining what is in their best interests, and here the Committee, as a fiduciary for unsecured creditors of these estates, has determined that conversion is in the best interests of creditors. *See, e.g., In re Camden Ordnance Mfg. Co. of Ark., Inc.*, 245 B.R. 794, 802 (E.D. Pa. 2000) (approving creditors' request to convert case and noting that "creditors are the best judge of their own best interests").

## NOTICE

52. Notice of this Motion will be provided to the following parties or, in lieu thereof, to their counsel, if known: (i) the Office of United States Trustee; (ii) the Debtors; (iii) Debtors' counsel; (iv) those persons who have requested notice pursuant to Bankruptcy Rule 2002 and (v) the creditors appearing on the Core/2002 Service List attached hereto. The Committee submits that no other or further notice need be provided.

WHEREFORE, the Committee respectfully requests that this Court enter an order converting these Chapter 11 Cases to cases under chapter 7 of the Bankruptcy Code.

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WHEREFORE, the Committee respectfully requests that this Court enter an order converting these Chapter 11 Cases to cases under chapter 7 of the Bankruptcy Code.

Dated: April 24, 2020

/s/ Brandy M. Rapp
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ours p.13 (red) over filed p.21 (blue)

In re: Blackjewel L.L.C., et al.
Core/2002 Service List
Case No. 19-30289

# CERTIFICATE OF SERVICE

| DESCRIPTION | NAME | NOTICE NAME | ADDRESS 1 | ADDRESS 2 | CITY | STATE | ZIP | COUNTRY | PHONE | FAX | EMAIL |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Top 30 Creditor | Wyoming Machinery Co. | Attn: Jim Thorpen | P.O. Box 2335 |  | Casper | WY | 82602 |  |  |  | jcthorpen@wyomingcat.com |

I hereby certify that on [date of service], I caused a true and correct copy of the foregoing Motion, with the Core/2002 Service List attached as Exhibit A, to be served on the parties listed on that Service List by [method of service].

/s/ Brandy M. Rapp
Brandy M. Rapp (WV Bar No. 10200)